

TECHING-UP

THE SEISMIC DIGITAL WAVE THAT MOST TRADITIONAL INDUSTRIES ARE CURRENTLY SURFING ON HAS SWEEPED SMEs, TOO. AND INDIA'S BURGEONING START-UP ECOSYSTEM IS ITS BIGGEST ENABLER AND BENEFICIARY

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DIVYANSH APPARELS' proprietor Sunil Kumar was looking for the right partner to scale his apparel manufacturing business in Noida. Casually browsing the web, he chanced upon a marketing campaign by Fashinza. Undertaking small outsourced orders from a larger factory and clocking ₹2 crore in annual revenue till then, Kumar was certain that his six-year-old womenswear manufacturing unit needed to grow. Starting in 2020, his collaboration with Fashinza marked the beginning of the transformational journey of his business. From operating only 20 machines, Divyansh Apparels expanded its horizon to 80 machines in just one year with the help of Fashinza, a digital marketplace that connects fashion brands with garment manufacturers. Moreover, enabled by Fashinza's other services such as production management and quality control solutions, Kumar's company was able to enhance its factory's productivity and now works directly with four international brands and generates approximately ₹18 crore in annual revenue.

Divyansh Apparels is not an isolated case, and definitely not one-sided.

Fashinza, founded by Pawan Gupta, Abhishek Sharma and Jamil Ahmad, is among a new crop of start-ups innovating niche vertical-focussed tech solu-

MSMEs' TECH TAKE-OFF

► SMEs and start-ups are complementing each others' businesses

► Start-ups bring big-company processes and data-driven decision-making to MSMEs

► Emerging retail tech is helping MSMEs go directly to consumers

► Affordability of solutions and ease of working are drawing SMEs to start-ups

► MSME sector is a large, unorganised and relatively unexplored test bed for start-ups

► SMEs offer problems of scale and expansive use cases for start-ups to innovate

tions to tap into the broader and deeper opportunities offered by micro, small and medium enterprises (MSMEs) operating in India. With their contribution of nearly 30 per cent to the country's GDP, around 50 per cent to total exports, and encompassing around 95 per cent of total industrial units, India's MSMEs offer a particularly fertile ground for the new-age, risk-taking start-up community, which is always on the lookout for problems of scale that can be solved profitably and efficiently.

"Some common challenges that SMEs face include guarantee of consistent business, managing day-to-day operations, financing and working-capital gaps. When we began working with SMEs, we tried to address these challenges. Most SMEs are highly reliant on middlemen, and can never compete with large manufacturers that have the capital to avail the best tech tools and do data-driven manufacturing," says Gupta of Fashinza.

Fashinza also assists SMEs in managing the entire product development, sourcing and production process from design to delivery. Backed by marquee investors like Accel Partners and Elevation Capital, this Gurugram-based start-up today has over 500 partner factories across India, Bangladesh, Vietnam and Sri Lanka. It counts brands like Forever21, FirstCry, Nykaa and Bewakoof.com among its